

Purchase Order Process

Document Information

- **Document Number:** PROC-034
 - **Title:** Purchase Order Process
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1. Purpose

This procedure defines the standard process for creating, approving, issuing, and managing Purchase Orders (POs) to ensure accurate and compliant procurement transactions.

2. Scope

Applies to all Purchase Orders issued by Acme Corporation for goods and services, including stock items, non-stock items, capital equipment, and services.

3. Definitions

- **Purchase Requisition (PR):** Internal request to purchase goods or services submitted by a requisitioner.
- **Purchase Order (PO):** Legal document issued to a supplier authorizing the supply of specified goods or services at agreed terms.
- **Blanket PO:** Long-term agreement with a supplier covering multiple deliveries over a defined period.
- **Standing PO:** Recurring PO for regular services such as maintenance or subscriptions.

4. Purchase Requisition

4.1 Creating a Requisition

Any employee with budget authority may create a Purchase Requisition in the procurement system. The PR must include: - Description of goods or services - Quantity and unit of measure - Estimated unit price and total cost - Required delivery date - Budget account code - Business justification - Preferred supplier (if any)

4.2 Requisition Approval

PRs shall be approved according to the Delegation of Authority schedule in the Procurement Policy (PROC-001). Approval workflow is automated in the

procurement system: - PRs under \$10,000 routed to Department Manager - PRs \$10,001-\$100,000 routed to Budget Holder and Procurement Manager - PRs over \$100,000 routed to Budget Holder, Procurement Director, and Finance Controller

4.3 Budget Check

The system shall perform an automatic budget check against the charged account. PRs exceeding available budget shall be rejected or sent for budget increase approval.

5. Purchase Order Creation

5.1 PR to PO Conversion

An approved PR shall be converted to a Purchase Order by a Buyer. The Buyer shall: 1. Verify the supplier is on the Approved Supplier List 2. Confirm pricing against catalog, quote, or contract 3. Specify Incoterms and delivery terms 4. Include payment terms (standard net 30) 5. Reference any applicable contract or agreement number 6. Set delivery schedule and ship-to location

5.2 PO Types

Type	Use	Duration
Standard PO	One-time purchase	Single delivery
Blanket PO	Multiple releases	Up to 12 months
Standing PO	Recurring services	Up to 12 months
Contract PO	Against existing contract	Contract duration

5.3 PO Approval

POs exceeding \$50,000 require an additional approval by the Procurement Manager. POs exceeding \$250,000 require Procurement Director approval.

6. PO Issuance

6.1 Sending the PO

The Buyer shall issue the PO to the supplier via the procurement system or email. The PO shall include a clear statement that work shall not commence without a signed PO acknowledgment.

6.2 PO Acknowledgment

The supplier shall acknowledge the PO within five business days. The acknowledgment shall confirm: - Price and quantity - Delivery date - Shipping method and Incoterms - Any special conditions

7. Goods Receipt and Invoice Processing

7.1 Goods Receipt

When goods arrive at the warehouse or receiving dock, the Warehouse team shall: 1. Verify the delivery against the PO 2. Inspect for visible damage 3. Record goods receipt in the system 4. Route goods for quality inspection if required 5. Generate Goods Receipt Note (GRN)

7.2 Three-Way Matching

Invoice processing follows the Three-Way Match principle: - **Purchase Order** matches **Goods Receipt** matches **Invoice** - Any discrepancy shall be resolved before payment is approved - Discrepancies include price differences, quantity differences, and missing receipts

7.3 Payment Processing

Approved invoices with successful three-way match shall be processed for payment according to agreed payment terms. Early payment discounts shall be taken whenever financially beneficial.

8. PO Changes and Cancellation

8.1 Amendments

Changes to an issued PO shall be made via a PO Change Order. The change order shall be approved according to the same authority levels as the original PO.

8.2 Cancellation

A PO may be cancelled by the Buyer with Procurement Manager approval if the supplier has not commenced work. Cancellation after work has commenced shall be negotiated with the supplier and documented.

9. Related Documents

- PROC-001: Procurement Policy Overview
- PROC-042: Contract Management Procedure
- FIN-001: Accounts Payable Procedure
- WHS-001: Receiving Dock Safety